



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: B.COM(H)

Semester: IV

Name of the Paper: strategic Business Reporting

Paper Code: BCH 402 AC

Time: 1.5-hour

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub-questions
- (ii) Each question carries 10 marks.

Q1. (10 Marks)

- a. What are the fundamental ethical principles outlined by the International Ethics Standards Board for Accountants (IESBA)? (CO 1)

OR

- b. List and briefly explain the five fundamental principles of ethics for professional accountants. (CO 1)

Q2. (10 Marks)

- a. An asset is sold in two different active markets at different prices. An entity enters into transactions in both markets and can access the price in those markets for the asset at the measurement date as follows:

	MARKET 1(\$)	MARKET 2(\$)
PRICE	26	25
TRANSACTION COSTS	(3)	(1)
TRANSPORT COSTS	(2)	(2)
NET PRICE RECEIVED	21	22

What is the fair value of the asset if:

- a. Market 1 is the principal market for the assets?
- b. No principal market can be determined? (CO 1)

OR

- b. Write brief notes on the concept of materiality and the key principles of IFRS 13 – Fair Value Measurement. (CO1)

Q3. (10 Marks)

- a. Give examples of how revenue can be misstated intentionally and the consequences of such actions. (CO1)

OR

- b. Explain the qualitative characteristics of financial information as per the conceptual framework. (CO1)



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Q4.

(10 Marks)

- a. Define a lease. What are the key components that must exist for a contract to qualify as a lease? (CO2)

OR

- b. What is net realizable value (NRV), and why is it important for inventory valuation? (CO2)

Q5.

(10 Marks)

- a. What challenges do companies face in applying IAS 41 in real-world scenarios? (CO2)

OR

- b. What are the key differences between periodic and perpetual inventory systems? (CO2)